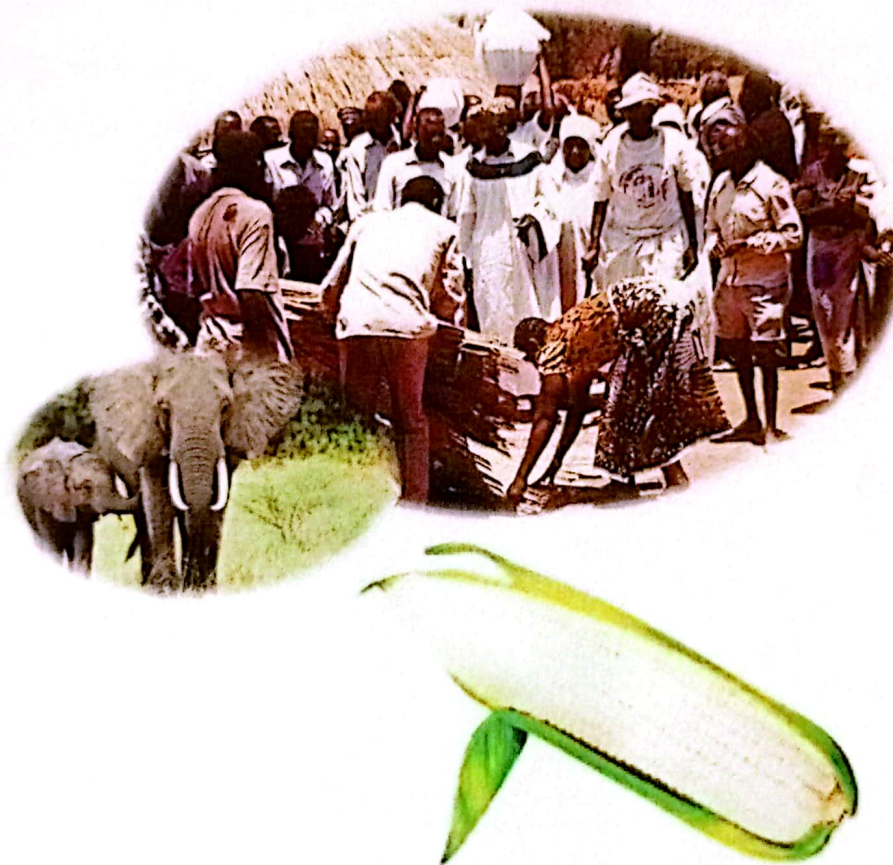


MINISTRY OF LOCAL GOVERNMENT
LUSANGAZI TOWN COUNCIL



FINANCIAL STATEMENT FOR THE YEAR
ENDED 31st DECEMBER 2022

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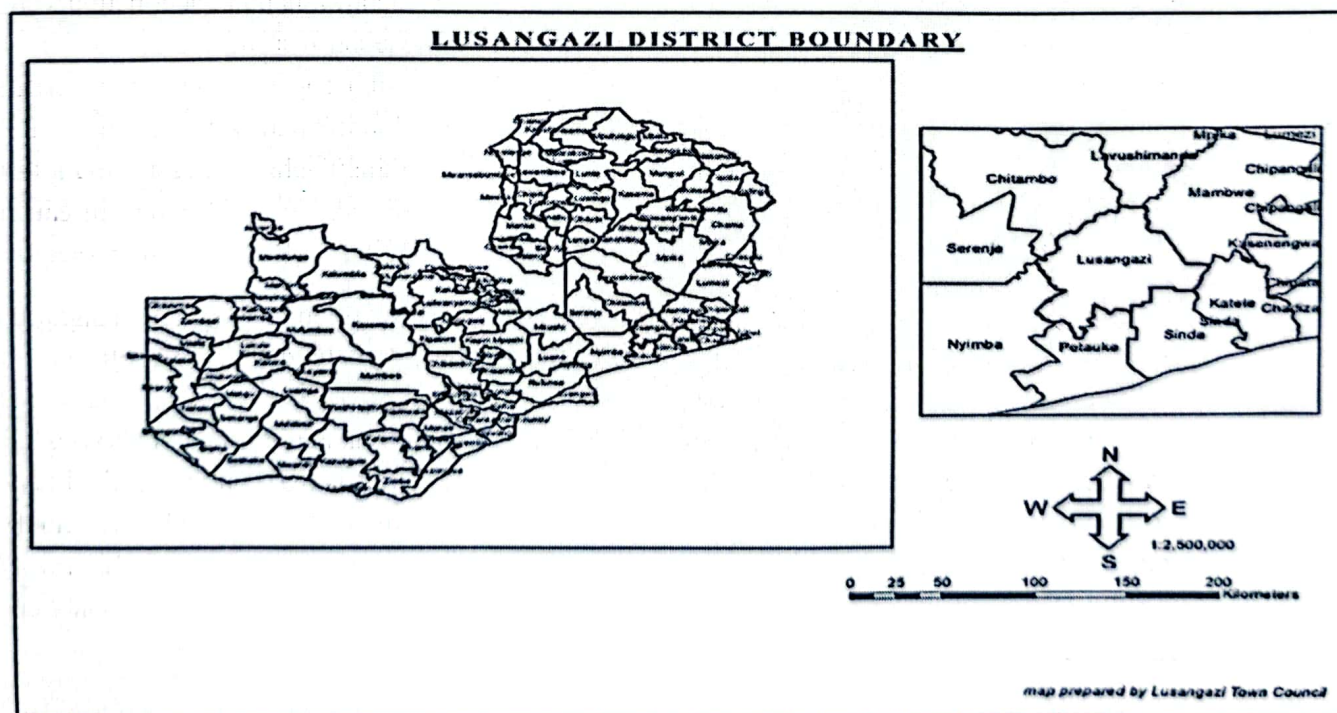
REPORT OF THE COUNCIL

The Council has the pleasure of presenting the report together with the financial statements for the year ended 31st December, 2022 which disclose the sources, utilization and balances of cash for Lusangazi Town Council during the period under review.

Background and Location of the Council

The Council is located at Village 18 in Masili, Lusangazi District, Eastern Province of Zambia along Ukwimi Road Lusangazi district was declared a district in April, 2018 under Statutory Instrument no. 26 of 2018, the district was created in order for Government to take development closer to the Local people, through the delivery of Services such Schools, Hospitals, provision of water and Sanitation and Other Services. Lusangazi was a constituency under Petauke district, the name Lusangazi is derived from the Lusangazi River which means meanders through the district. The district was formally known as Ukwimi Refugee Settlement, the refugees came from different Countries namely Angola, Mozambique and Rwanda.

Lusangazi Districts is among the fifteen districts in the Eastern Province of Zambia. It is approximately 470 km east of Zambia's capital city - Lusaka. Lusangazi District has a surface area of 5,252 km² and lies between 13°30' latitude and 14°45' longitude, 31° west and 32° east. The District shares district boundaries with Petauke in the south and with Sinda and Mambwe in the north-east, as well as Serenje and Chitambo in the north-west, Nyimba in the Southwest and Lavushimanda in the North. The district has one constituency called Msanzala which has eleven wards namely; Mateyo-Mzeka, Chingolo, Singozi, Lutwazi, Nyakawise, Chikowa, Mawanda, Lusangazi, Ukwimi, Mudonsa and Chisangu respectively. Below is the image showing the district boundary.



POPULATION

Lusangazi District has a population of 116,064 (2010 CSO projection) at a growth rate of 2.5%. Lusangazi is a rural district with approximately 98% of the population living in the rural parts of the district while the other 2% live in the urban part that has access to electricity. The average annual population growth rate is 2.5% which is above the provincial annual population rate of 2.6%. Lusangazi has a youthful population with the

REPORT OF THE COUNCIL

age group between 15-34 years being 30%. The population density is 36.6 persons per square kilometers (Central Statistical Office, 2012).

ECONOMIC ACTIVITIES

Lusangazi District being typically rural and the main commercial activity of is agriculture which includes Farming and Livestock rearing. However, the district accommodates several Game ranches for small scale tourism activities. There are also several small-scale mining activities within Lusangazi ward which enhances the social economic activities of the local people and non-local people. Livelihood is also supported by small scale trading. The developmental prospects for Lusangazi district include Granite Mining, Gold Panning, Lime Plant, Wind/ Solar energy and Tourism activities.

TRADITIONAL LEADERSHIP

Lusangazi has two (2) Chiefdoms namely Sandwe and Nyamphande. Sandwe Chiefdom covering the North-western part of the district houses the administrative centre at Village 18 in Masili. Chiefdom is home to the Nsenga Speaking people and has six wards: Lusangazi, Ukwimi, Mawanda, Mudosa, Chikowa, and Chisangu.

The Nyamphande Chiefdom is the south easterly side of the district and shares the boarders Petauke, nyimba and Serenje districts. The Chiefdom is home to the Nsenga people, a distinctive dialect of Chinsenga. The Chiefdom consist of the following wards: Mateyo-Mzeka, Chingolo, Singozi, Lutwazi, Nyakawise

The address of the registered office of Lusangazi Town Council (LTC) is as follows:

The Civic Centre

P O Box 560151

Ukwimi Road

LUSANGAZI

REPORT OF THE COUNCIL

Composition of the Council

Lusangazi Town Council is a body corporate established under Article 152 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 and incorporated under Cap 281 of 1991 of the Laws of Zambia. As a Local Authority, the Lusangazi Council administers the Lusangazi District.

From January to December 2022, the Council was composed of an elected chairperson, 11 councillors from four (11) wards and Two (2) chiefs as provided for under Article 153 (2) (c) of the Constitution of Zambia (Amendment) Act No. 2 of 2016. The current Council is composed of an elected Chairperson, eleven(11) Councillors from the eleven (11)wards. Wards increased from 5 wards to 11 wards after the movement of District boundaries in Nyamphande area, current Council was elected to office on 21 August 2021 to serve a five-year term up to 2026. The vice chairperson was elected from among the councillors in 2021 for a period of two and half years.

The Councilors who held office during the year 2022 were:

S/N	NAME	GENDER	POSITION	WARD
1	Blackson Tembo	Male	Chairperson	Not applicable
2	Anna Njobvu M	Female	Vice Chairperson	Lutwazi
3	Nason Chirwa	Male	Councillor	Chisangu
4	John Phiri	Male	Councillor	Ukwimi
5	Nkhata G. Salulani	Male	Councillor	Mawanda
6	Martin Tembo	Male	Councillor	Lusangazi
7	Cosmas Mwanza	Male	Councillor	Mateyo Mzeka
8	Enos Manda	Male	Councillor	Singonzi
9	Stephen T.,K Phiri	Male	Councillor	Mdonsa
10	Jacob Zulu	Male	Councillor	Chingolo
11	Henry Lungu	Male	Councillor	Chikowa
12	Geoffrey Daka	Male	Councillor	Nyakawise

The district had one (1) elected Member of Parliament, who held Office during the year under review. The district has one constituency namely Msanzala Constituency. The Member of Parliament that held office during the year was:

Composition of the Council

Period	NAME	GENDER	CONSTITUENCY
01/08/2021	Hon. Elias Daka	Male	Msanzala

The affairs of Central Government in the district are coordinated by the District Commissioner. During the year under review Mr. Mike Tembo was the District Commissioner for Lusangazi District.

The Council Secretariat

The Secretariat of Lusangazi Town Council was headed by the Council Secretary. The Council Secretary and the rest of the Secretariat are appointed by the Local Government Service Commission. The Council Secretary

REPORT OF THE COUNCIL

was assisted by Five (5) Chief Officers responsible for Finance, Planning, Works, Human Resource and Administration and two (2) units namely, Procurement and Internal Audit.

Functions of the Council

The main function of the Council is the delivery of local public goods and services to the people in the District and discharge all or any of the functions set out in Article 147 (2) (c) of the Constitution of Zambia (Amendment) Act No.2 of 2016 and First Schedule of the Local Government Act No. 2 of 2019 which include, among others, power to make By-Laws, power to make regulations, imposition of levies, fees and charges and to formulate local policies to promote, guide and regulate development in the district through various relevant departments of the Council.

MEMBERS OF THE COUNCIL

Financial Results

	2022	2021
	KWACHA	KWACHA
Cash Receipts	34,102,338	16,077,649
Payments	14,723,348	14,814,623
Increase/decrease in Cash and Cash Equivalents	<u>19,378,990</u>	<u>1,263,026</u>

Key Policies Adopted During the Year

The Council did not adopt any policy during the year 31st December 2022:

Related Party Transactions

There were no related party transactions during the financial year 31st December 2022.

Property, Plant and Equipment

The council during the year spent K 1,235,634 Property Plant and Equipment. No disposals were done during the period under review.

Intangible Assets

No intangible assets were purchased or disposed of during the year 31st December 2022.

Employees

The average number of employees during the year was 57. The total amount spent on employees' remuneration and welfare during the year was K5, 672,066.

REPORT OF THE COUNCIL

REPORT OF THE COUNCIL

Health and Safety of Employees

The Council is aware of its responsibilities regarding the safety and health of employees as prescribed in the Occupational, Health and Safety Act No.36 of 2010 and took appropriate measures to safeguard their safety and health.

Recreation

The Council during the financial year ended 31st December 2022 did not incur any ngwee towards the sponsoring of various sporting activities.

Corporate Social Responsibility

The Council made donations during the year amounting to K0.00 towards the support of various socially responsible causes.

Auditors

In line with Article 250 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 44(2) of the Local Government Act No. 2 of 2019, the Council is audited by the Auditor-General.

By order of the Council

Signature.....

Name: Blackson Selemani Tembo

Position: Council Chairperson

Date: 22-12-2022, 2023

STATEMENT OF RESPONSIBILITIES FOR ANNUAL FINANCIAL STATEMENTS

The Lusangazi Town Council is responsible for preparing the financial statements for the year ended 31st December, 2022 which are free from material misstatement, whether due to fraud or error, and are prepared, in all material respects, in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS). In preparing the financial statements, the Council selected applicable policies from Local Authorities Accounting Policies (LAAPs) of October 2019 and then applied them consistently, making judgment and estimates that were reasonable and prudent.

The Council is also responsible for the maintenance of adequate accounting records and the preparation and integrity of the annual financial statements and related information. The Auditor-General has audited the financial statements and his report is shown on pages 8 to 10.

The Council accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with the Cash Basis IPSAS, the requirements of the Local Government Act No. 2 of 2019, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019.

The Council further accepts responsibility:

- for the maintenance of accounting records that may be relied upon in the preparation of financial statements,
- for designing, implementing, and maintaining systems of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Nothing has come to the attention of the Council to indicate that the Lusangazi Town Council will not remain a going concern for at least twelve months from the date of this statement.

In the opinion of the Council, proper books of accounts were maintained to support preparation of Financial Statements that present fairly the financial results of the Lusangazi Town Council for the financial year ended 31st December 2022.

Signed on behalf of the Council

On 22/12/2022 by

Name: Blackson Selemani Tembo

Signature:.....

Position: Council Chairman

Name: Mabvuto Masiye

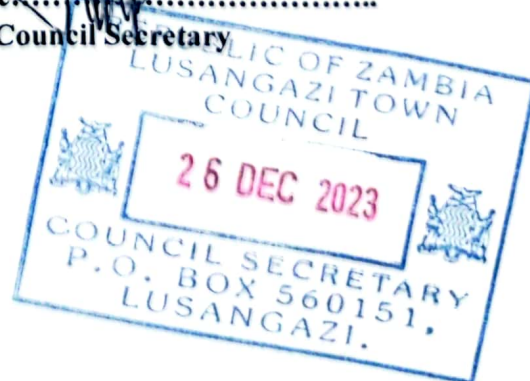
Signature:.....

Position: Council Secretary

Name: Sipalo Kayama

Signature:.....

Position: Council Treasurer





**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL**

INDEPENDENT AUDITOR'S REPORT

**STAND No. 7951
HAILE SELASSIE AVENUE
LONGACRES
P.O BOX 50071
LUSAKA, ZAMBIA**

**E-mail: auditorg@ago.gov.zm
Website: www.ago.gov.zm
Telephone: +260252611/252771**

To: The Minister – Ministry of Local Government and Rural Development

Report on the Audit of the Financial Statements of Lusangazi Town Council

Unmodified Opinion

I have audited the financial statements of the Lusangazi Town Council for the financial year ended 31st December, 2021 which comprise the Statement of Cash Receipts and Payments, the Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund and the Statement of Cash Receipts and Payments for Constituency Development Fund (CDF) and a summary of significant accounting policies and other explanatory information on pages 11 to 33.

In my opinion, the accompanying financial statements of Lusangazi Town Council present fairly, in all material respects, its cash receipts and payments and balances for the year ended 31st December, 2021 in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS) and the Local Authorities Accounting Policies (LAAPs).

Basis for Unmodified Opinion

I conducted my audit in accordance with International Standards of Supreme Audit Institutions (ISSAIs). My responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of my report. I am independent of Lusangazi Town Council in accordance with the International Organisation of Supreme Audit Institutions (INTOSAI) Code of Ethics together with the ethical requirements that are relevant to my audit of the financial statements in Zambia, and I have fulfilled my other ethical responsibilities in accordance with these requirements and the INTOSAI Code. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.



**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL**

Emphasis of Matter

I draw attention to part 1.1 of the summary of significant accounting policies to the financial statements which describes the roadmap of the Council to adoption of Accrual Basis Financial Reporting Framework as result of which the Council has not produced Accrual Basis type of financial statements required by the Local Government Act No. 2 of 2019.

My opinion is not qualified in respect of this matter.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with Cash Basis International Public Sector Accounting Standard, the Local Government Act No. 2 of 2019 1, the Public Finance Management Act No. 1 of 2018 and Local Authorities Accounting Policies (LAAPs), and for such internal controls as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Council or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Council's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISSAIs, I exercise professional judgment and maintain professional skepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.



**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL**

- Obtain an understanding of internal controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Council's internal controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Council's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my auditor's report. However, future events or conditions may cause the Council to cease to continue as a going concern.

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

Dr. Ron M. Mwambwa, FCMA, FZICA, CGMA, CFE
ACTING AUDITOR GENERAL
OFFICE OF THE AUDITOR GENERAL

DATE: 28/12/2023

STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE YEAR ENDED 31ST DECEMBER 2022

	Note	2022 Kwacha	2021 Kwacha
RECEIPTS			
Local taxes	2	2,938	6,530
Fees and Charges	3	342,366	1,691,405
Licences	4	24,256	32,595
Levies	5	149,582	119,249
Permits	6	54,848	33,074
Local Government Equalisation Fund	7	9,144,537	6,781,350
Constituency Development Fund	8	23,739,911	1,600,000
Other Grants	9	401,811	200,000
Borrowings	10	-	-
Commercial Venture	11	-	-
Other Receipts	12	242,090	5,613,446
TOTAL RECEIPTS		34,102,338	16,077,649
PAYMENTS			
Personnel Emoluments	13	5,672,066	5,104,414
Use of goods and services	14	5,564,669	2,010,140
Financial Charges	15	-	31,079
Social benefits	16	1,920,000	-
Non-financial assets acquisition	17	1,235,634	1,425,454
Financial Assets	18	-	-
Loan Repayments	19	-	-
Other payments	20	330,979	6,243,536
TOTAL PAYMENTS		14,723,348	14,814,623
Increase/(decrease) in Cash		19,378,990	1,263,026
Foreign Exchange Losses	21	-	-
Cash at beginning of the year	22	2,408,024	1,144,998
Cash at the end of the year	22	21,787,015	2,408,024

Incorporated in the payments recognised in this Statement are those for Local Government Equalisation and Constituency Development Funds. However, the details of payments under each of these Funds are presented separately in each Fund's own Statement of Cash Receipts and Payments.

Signature.....
Position: Council Chairperson

Signature.....
Position: Council Secretary

Signature.....
Position: Council Treasurer



STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS FOR THE YEAR ENDED 31ST DECEMBER 2022

	Original Budget Kwacha	Adjustments Kwacha	Final Budget Kwacha	Actual Amounts Kwacha	% Performance	Variance Kwacha	% Variance
RECEIPTS							
Local taxes	42,189	-	42,189	2,938	7%	(39,252)	-93%
Fees and Charges	463,775	-	463,775	342,366	74%	(121,409)	-26%
Licences	25,140	-	25,140	24,256	96%	(884)	-4%
Levies	129,960	-	129,960	149,582	115%	19,622	15%
Permits	62,340	-	62,340	54,848	88%	(7,492)	-12%
Local Government Equalisation Fund	9,269,760	-	9,269,760	9,144,537	99%	(125,223)	-1%
Constituency Development Fund	25,700,000	39,911	25,739,911	23,739,911	92%	(2,000,000)	-8%
Other Grants	400,000	-	400,000	401,811	100%	1,811	0%
Borrowings	-	-	-	-	0%	-	0%
Commercial Venture	-	-	-	-	0%	-	0%
Other Receipts	94,625	-	94,625	242,090	256%	147,465	156%
TOTAL RECEIPTS	36,187,789	39,911	36,227,700	34,102,338	94%	(2,125,362)	-6%
PAYMENTS							
Personnel Emoluments	4,965,790	-	4,965,790	5,672,066	114%	(706,276)	-14%
Use of goods and services	23,293,197	39,911	23,333,108	5,564,669	24%	17,768,439	76%
Financial Charges	-	-	-	-	0%	-	0%
Social benefits	5,140,000	-	5,140,000	1,920,000	37%	3,220,000	63%
Non-financial assets acquisition	2,211,239	-	2,211,239	1,235,634	56%	975,605	44%
Financial Assets	-	-	-	-	0%	-	0%
Loan Repayments	-	-	-	-	0%	-	0%
Other payments	577,564	-	577,564	330,979	57%	246,585	43%
TOTAL PAYMENTS	36,187,790	39,911	36,227,701	14,723,348	41%	21,504,353	59%
Increase/(Decrease in Cash	(1)	(0)	(1)	19,378,990		(23,629,715)	

The composition of budget adjustments and explanations of major variances are provided in note 33

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE LOCAL GOVERNMENT
EQUALISATION FUND (LGEF) FOR YEAR ENDED 31ST DECEMBER 2022**

		2022	2021
		Kwacha	Kwacha
RECEIPTS			
Funding	7(a)	<u>9,144,537</u>	<u>6,781,350</u>
TOTAL RECEIPTS		<u>9,144,537</u>	<u>6,781,350</u>
PAYMENTS			
Operational Expenditure Payments:	7(b)		
✓ Salaries and Wages		5,672,066	5,104,414
✓ Terminal Benefits		-	-
✓ Utility bills		18,252	-
✓ Service Provision		98,236	165,244
✓ Goods and Services		500,947	
✓ Administrative Costs		53,186	97,352
✓ Other Costs		<u>879,227</u>	
Sub-Total		<u>7,221,914</u>	<u>5,367,010</u>
Capital Expenditure Payments:	7(c)		
✓ Infrastructure Development			723,952
✓ Rehabilitation Works		-	-
✓ Asset Acquisition		1,235,634	350,000
✓ Other Costs(Borehole)		<u>-</u>	<u>43,921</u>
Sub-Total		<u>1,235,634</u>	<u>1,117,873</u>
TOTAL PAYMENTS		<u>8,457,548</u>	<u>6,484,883</u>
Increase/(decrease) in cash		<u>686,989</u>	<u>296,467</u>
Foreign Exchange Losses		<u>-</u>	<u>-</u>
Cash at beginning of the year		<u>449,799</u>	<u>153,332</u>
Cash at the end of the year		<u>1,136,788</u>	<u>449,799</u>

Note 7

This expenditure is included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE CONSTITUENCY
DEVELOPMENT FUND (CDF) FOR YEAR ENDED 31ST DECEMBER 2022**

		2022	2021
		Kwacha	Kwacha
RECEIPTS			
Funding	a	23,739,911	1,600,000
Other sources	b		-
Other receipts	c	156,289	-
TOTAL RECEIPTS		23,896,200	1,600,000
PAYMENTS			
Infrastructure Development	d	1,442,071	424,220
Rehabilitation Works & Upgrades	e	703,422	48,555
Asset Acquisitions	f	-	
Rural Electrification	g	-	
Social Benefits	h	1,920,000	
Loans	i	-	
Secondary Boarding Schools and Skills Developm	j	553,685	
Administrative Costs	k	573,869	16,054
Disaster Contingency	l	-	-
TOTAL PAYMENTS		5,193,047	488,829
Increase/(decrease) in Cash		18,703,153	1,111,171
Cash at beginning of the year		1,697,966	586,795
Cash at the end of the year	m	20,401,119	1,697,966

Note 8 explains the composition and other details relating to the various elements included in this Statement.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1. Basis of the Preparation of the Financial Statements

The Financial Statements have been prepared in accordance with Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*, issued by the International Public Sector Accounting Standards Board (IPSASB) and Local Authorities Accounting Policies (LAAPs).

These financial statements have been prepared in accordance with the historical cost convention as the basis of measurement, unless specified otherwise.

The accounting policies have been applied consistently throughout the period.

1.1 Migration to Accrual Basis Financial Reporting

Lusangazi Town Council is required, under the Local Government Act No. 2 of 2019 to produce a Statement of Comprehensive Income and a Statement of Financial Position. The production of these statements entails adoption and application of Accrual Basis of Accounting in financial reporting. However, the Act does not specify which particular accrual basis of accounting to use. In applying Cash Basis of Accounting, the Council followed guidance listed below:

(a) Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*.

This standard provides that public sector entities adopting Accrual Basis for the first time may apply Cash Basis IPSAS provisions as an intermediate step to assist them in the transition to Accrual Basis IPSASs. In this vein, the Council has produced these financial statements under Cash Basis IPSAS as part of its transition to Accrual Basis of Accounting.

(b) Accounting Pronouncement: 2018/3 – Applicability of International Public Sector Accounting Standards (IPSASs).

This pronouncement issued by the Zambia Institute of Chartered Accountants (ZICA) pursuant to the Accountants Act, 2008 requires the adoption of Accrual Basis of Accounting by public entities by 31st December 2024. The Council is preparing to adopt Accrual Basis IPSASs on 1st January 2025

(c) Treasury and Financial Management Circular No 10 of 2019 issued by the Secretary to the Treasury pursuant to the Public Financial Management Act, No. 1 of 2018. The Treasury and Financial Management Circular provides as follows:

- i. That in order to have a standard financial reporting framework, all Local Authorities should adopt the International Public Sector Accounting Standards (IPSASs) Cash Basis of Accounting as a first step in migration to IPSASs Accrual Basis of Accounting.
- ii. Local Authorities shall use Part 2 of Cash Basis IPSAS which requires extra disclosures called 'Encouraged Additional Disclosures' in Cash Basis financial statements for the years ending 31st December 2018 up to 2024.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- iii. All Local Authorities shall adopt and apply Accrual Basis IPSAS of Accounting starting 1st January 2025 by following the guidelines provided in IPSAS 33 – “First Time Adoption of Accrual Basis IPSASs”.
- iv. That the Seven (7) years transition period provided under IPSAS 33 should commence on 1st January 2018 and should end on 31st December 2024. Thereafter, all Local Authorities shall be required to comply fully with Accrual Basis IPSASs.

Based on these guidelines, the Council has not yet commenced production of Accrual Basis financial statements required by the Local Government Act, 2019. However, the Council has adopted Part 2 Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting* to help it transition its financial reporting to Accrual Basis IPSASs.

1.2 Reporting Entity

The Financial Statements are prepared for Lusangazi Town Council (LTC). The financial statements encompass the Council as specified in the Constitution of Zambia (Amendment) Act No. 2 of 2016, the Local Government Act No.2 of 2019, and the Public Finance Management Act No.1 of 2018. It also includes projects and activities of the Constituency Development Fund and the Local Government Equalisation Fund in the district.

1.3 Authorisation Date

The financial statements were authorized for issue on **Friday 22nd December 2023** by the ordinary Council.

1.4 Revenue

Revenue is recognised when cash is received. It is generated from various sources as explained below:

a. Local Taxes

Article 161 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 authorised Lusangazi Town Council as a Local Authority to levy, impose, recover, and retain local taxes. Further, the Local Government Act No. 2 of 2019 section 25(1) prescribes, subject to the Constitution and the Business Regulatory Act of 2014, a system of local taxes which Local Authorities can raise by passing by-laws imposing levies on:

- leviable persons owning or occupying property or premises situated within the area of the District;
- leviable persons carrying on a business, trade or occupation within the area of the District; or
- the purchase or sale of a commodity within the area of the District.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

b. Fees and Charges

Section 27 (1) of the Local Government Act No.2 of 2019 empowers Local Authorities, subject to the Business Regulatory Act, 2014, to impose fees or charges payable to the Council:

- For any license or permit issued under any regulation or by-law made under the Act. These may include health permits, fire certificate licences, burial permits and extension of business hours permits.
- For any service or facility provided or goods or documents supplied by the local authority in pursuance of or in connection with the performance of any function of the local authority. These may include survey fees, consent fees, building inspection fees, waste collection fees and parking fees.

1.5 Expenditure

Expenditure is recognised when payment is made for expenses incurred. The Council incurs expenditure relating to the discharge of its functions which includes expenses relating to personal emoluments, use of goods and services, social benefits, and acquisition of non-financial assets.

Items of a capital nature are expensed at the time of payment and such transactions are depicted in the appropriate class and heading in the financial statements. Since capital expenditure is expensed when incurred, neither depreciation nor amortization is charged on non-current assets.

1.6 Reporting on Gross Basis

Transactions are reported on gross basis without netting off similar classes of receipts and payments. However, transactions may be reported on net basis when they relate to transactions the Council administers on behalf of other entities recognised in the Financial Statements

1.7 Cash in hand at the Beginning and the End of the Year

Cash at the beginning and end of the year consist of cash on hand, demand deposits and cash equivalents held at such dates.

Cash on hand refers to notes and coins held by the Council at the reporting date and it includes petty cash and cash collections not yet deposited into bank accounts. Demand deposits consist of reconciled balances held in the Council's bank accounts which it can use on demand. Cash equivalents, on the other hand, refer to short term high liquid investments that can easily be converted to known amounts of cash and are subject to insignificant risk of change in values.

The Council recognises all short term high liquid investments having maturities of three months or less as cash equivalents.

1.8 Local Government Equalization Fund

Article 163(2) of the Constitution of Zambia (Amendment) Act No. 2 of 2016 provides that Parliament shall annually appropriate monies to the Local Government Equalisation Fund which shall be disbursed by the Ministry responsible for finance to Local Authorities. Receipts under LGEF supplement revenue generated by the Council. The Council uses at least 20% of the funds received

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

from the equalization fund, in any financial year, to finance capital expenditure and the balance to meet operational expenses.

1.9 Constituency Development Fund

The Constituency Development Fund (CDF) was established under Article 162(1) of the Constitution of Zambia (Amendment) Act No. 2 of 2016.

The fund was set up to finance micro-community projects for poverty reduction in communities and it is financed by monies appropriated by Parliament.

The administration of CDF is regulated by the Constituency Development Fund Act No. 11 of 2018.

The Council maintains separate bank accounts for each constituency. Transfers are made from CDF into constituency bank accounts from which payments are made to finance approved CDF projects.

1.10 Other Grants

These include grants in lieu of rates and support from Cooperating Partners. Grants in lieu of rates are paid by the Government to the Council to cover property rates of Government properties in the district. Support from Cooperating Partners may consist of cash receipts under bilateral and multilateral agreements.

1.11 Presentation Currency

The presentation currency is Zambian Kwacha.

1.12 Foreign Currencies

Transactions in other currencies are converted into Zambian Kwacha using the ruling Bank exchange rates at the time of payment. Balances expressed in foreign currencies at the year-end are translated into Kwacha at the ruling rate then. The resulting difference from the conversion and translation are charged to the Statement of Cash Receipts and Payments.

1.13 Borrowings

Borrowings comprise actual cash inflows received from financial institutions, bilateral and multilateral institutions.

1.14 Budgets and Actual Amounts

A final budget includes all adjustments (supplementary and re-allocations) made to the original approved budget during the year. Supplementary budgets consist of additional provisions beyond what was originally approved while re-allocations are approved budget variations.

The approved budget is developed on the same accounting and classification basis, and for the same period as for the financial statements. All material differences between final budgets and actual amounts are explained in the notes to the annual financial statements. Budget differences of 20% and above are considered material.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.15 Encouraged Disclosures of Accrual Type of Items

During the year, the Council adopted Part 2 of Cash Basis IPSAS which provides extra Accrual Basis type of disclosures called Encouraged Additional Disclosures as follows:

i. Property, Plant and Equipment

These are assets that have useful economic lives or service potential of more than one year. They are recorded and disclosed at either cost or valuation. Valuations are conducted by the Government Valuation Department and the Council's own Valuation staff. Where valuation has been undertaken, the applicable valuation bases are as follows:

- Land Current Value
- Buildings Cost or Market Value
- Plant and Equipment Cost

ii. Investments in Other Entities

The Council discloses the following details about its investments in other entities:

- (a) Name of the entity
- (b) Principal activity of the entity
- (c) Percentage of shareholding in the entity
- (d) Receipts in form of dividends and other returns on the investments

iii. Administered Transactions

Administered transactions are cash flows resulting from transactions administered by the Council as an agent of Central Government and any of its agencies. All cash collected in this manner is deposited into an account of the Central Government or its appropriate agent and such accounts are not controlled by the Council. The Council deems as part of cash under its control any collections made and administered by the Council on behalf of the Central Government but are allowed to be deposited in any of its bank accounts prior to its transfer to the Central Government or any of its agents.

iv. Related Party Transactions

A related party is one that has the ability to control the Council or exercise significant influence over the Council in making financial and operating decisions. The related party entity is also any entity that is subject to common control with the Council.

Related parties include:

- (a) Entities that directly, or indirectly through one or more intermediaries, control, or are controlled by the Council;
- (b) Associates being entities over which the Council has significant influence
- (c) Individuals that have significant influence over the Council, and close members of the family of any such individual;
- (d) Key management personnel, and close members of the family of key management personnel; and
- (e) Entities in which a substantial ownership interest is held, directly or indirectly, by any person described in (c) or (d), or over which such a person is able to exercise significant influence.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The key management personnel of the Council are:

- (a) Chairperson, elected councillors, co-opted members of the Audit and Procurement Committees, chiefs who are part of the council representing other chiefs in the district, and
- (b) The Principal Officers and Chief Officers.

Spouses, children and grandchildren, grandparents, brothers, sisters, parents in law, brothers in law, and sisters in law of key management personnel are related parties to the Local Authority

The Council discloses the nature of the related party relationship as well as information about those transactions and outstanding balances as a note to the financial statements. Such transactions may include remuneration, loans and contracts awarded to key management personnel and their close relatives.

v. External Assistance

External assistance comprises loans and grants from multilateral and bilateral agencies provided under agreements specifying the purposes for which the assistance will be utilized. Lusangazi Town Council discloses total external assistance received in cash during the period, total external assistance paid by the agencies for the benefit of the council, external assistance received in form of loans and grants, their classifications, purposes for which it was received and undrawn balances.

vi. Payments to Third Parties

Third party payments also known as direct payments are those that are made by third parties to construct or acquire property, plant and equipment and or pay for services on behalf of **Lusangazi Town Council**. These do not constitute cash receipts and payments by the Council. They include payments for goods and services made by multilateral and bilateral aid agencies and non-governmental organizations and are included in the disclosures of external assistance.

NOTES TO THE FINANCIAL STATEMENTS

2. Local Taxes

During the year 31st December 2022, the Council generated local tax cash receipts as follows:

Local Tax Type	2022 Kwacha	2021 Kwacha
Residential Rates	-	-
Industrial / Commercial Rates	-	-
Mining Rates	-	-
Personal Levy	2,938	6,530
	-	-
TOTAL	2,938	6,530

3. Fees and Charges

The Council generated cash receipts in form of fees and charges arising from offering various services as follows.

	2022 Kwacha	2021 Kwacha
Fees and charges	203,266	122,399
Land Development Charges	139,100	1,569,006
Total	342,366	1,691,405

NOTES TO THE FINANCIAL STATEMENTS

a. Fees and charges

The Council generated the following fees:

Fees and Charges Type	2022	2021
	Kwacha	Kwacha
Consent Fees		1,345
Survey Fees	68,000	
Building Inspection fees	-	-
Plan Scrutiny Fees	4,000	-
Container/Ntemba fees	-	3,772
Rentals/Lease of Council's properties	-	
Application Form Fees	14,280	34,090
Sketch Fees	-	-
Bus Station Fees	-	-
Affidavit Fees	-	70
Registration of Suppliers	-	
Abattoir/Meat Inspection Fees	-	-
Farm Produce Levy	-	-
Communication Mast Levy	55,000	35,000
Land Record	-	-
Billboard and Banner	-	-
Illegal Vending Fees	-	-
Penalties	-	1,250
Site Rent	-	-
Change of ownership of plot	-	-
Other Fees and Charges/other income	61,986	46,872
TOTAL	203,266	122,399

b. Land Development Charges

The Council collected the following land development related charges during the year ended 31st December 2022:

Charges Type	2022	2021
	Kwacha	Kwacha
Service charges - residential plots	37,350	246,700
Service charges - Industrial plots	-	
Premium plots - Residential	-	-
Premium plots - Commercial	28,250	306,900
Lease charges	-	-
Other	73,500	1,015,406
TOTAL	139,100	1,569,006

NOTES TO THE FINANCIAL STATEMENTS

4. Licenses

A total of K24, 256.00 cash receipts was raised from issuance of various licenses.

Licence Type	2022 Kwacha	2021 Kwacha
Manufacturers licence	-	-
Retail licence	-	1,855
Wholesale licence	-	-
Occupancy licence	-	-
Commercial travellers licence	-	-
Hawkers licence	-	-
Peddlers licence	-	-
Stall licence	-	-
Liquor licence	1,027	-
Firearm and ammunition licence	18,980	11,875
Petroleum licence	-	-
Restaurant licence	-	-
Dog licence	-	-
Other licences	4,249	18,865
TOTAL	24,256	32,595

5. Levies

The Council generated cash receipts by charging levies as follows:

Type of Levy	2022 Kwacha	2021 Kwacha
Livestock Levy	6,235	4,021
Bird Levy	-	250
Fish Levy	-	-
Pole Levy	-	-
Charcoal Levy	3,892	3,597
Business Levy	38,976	37,875
Miscellaneous levies	100,479	73,506
TOTAL	149,582	119,249

NOTES TO THE FINANCIAL STATEMENTS

6. Permits

The Council generated cash receipts from issuing various permits as follows:

Type of Permit	2022	2021
	Kwacha	Kwacha
Health Permit	35,113	10,844
Herbalist permit	1,800	1,150
Fire Certificates	-	-
Extension of business hours permits	-	-
Transportation of Opaque	7,000	10,000
Other Permits	10,935	11,080
TOTAL	54,848	33,074

7. Local Government Equalisation Fund

a. Funding

	2022	2021
	Kwacha	kwacha
January	759,056	572,480
February	754,189	556,686
March	770,885	571,671
April	749,919	571,671
May	766,786	571,671
June	766,786	571,671
July	766,786	547,683
August	762,912	551,004
September	762,912	555,884
October	762,412	571,671
November	760,317	569,630
December	761,574	569,630
TOTAL	9,144,537	6,781,351

b. Operational Expenditure

The Council applied amounts totalling K7,168,728.00 of LGEF receipts towards meeting Operational expenses representing 78% of the total LGEF funding for the reporting period.

NOTES TO THE FINANCIAL STATEMENTS

c. Capital Expenditure

The Council applied amounts totalling K1,363,442 of LGEF receipts towards meeting capital expenditure representing 74 % of the total LGEF funding for the reporting period leaving a balance of K1, 136,788 in the Capital Account.

8. Constituency Development Fund

Statement of Cash Receipts and Payments for CDF under the period reviewed shows an amount of K 23,739,911.0 having been received from the ministry of Local government and rural development.

a) CDF Funding

Funding	2022	2021
	Kwacha	Kwacha
Community Projects	11,938,162	1,520,000
Disaster Contingency	733,587	
Empowerment Grants	1,956,233	
Empowerment Loans (Revolving Fund)	2,934,350	
Bursaries	4,890,583	
Administrative Costs	1,286,996	80,000
TOTAL	23,739,911	1,600,000

b) Loan Repayments

During the year, Lusangazi Town Council did not receive funds from the Loan Repayments as there no loans processed by the close of the year.

c) Other Receipts

During the year under review, the Lusangazi Town Council did receive other receipts as indicated below: -

	2022	2021
	Kwacha	Kwacha
Interest Earned	156,289	-
Donations /Contributions	-	-
Total	156,289	-

d) Infrastructure Development

Infrastructure Development includes payments made towards drilling and fully equipping new boreholes in the district.

NOTES TO THE FINANCIAL STATEMENTS

Expenditure	2022	2021
	Kwacha	Kwacha
Construction of Primary Schools - certified works paid	670,439	-
Construction of Secondary schools - certified works paid	74,588	-
Construction of Feeder Roads - certified works paid	-	-
Construction of Mothers' Shelters - certified works paid	-	-
Construction of health facility certified works paid	45,000	-
Construction of Staff house - certified works paid	-	-
Drilling of boreholes - certified works paid	652,045	424,220
Construction of Local courts - certified works paid	-	-
Re-Construction of Police post Staff house - certified work	-	-
Administrative costs	-	-
TOTAL	1,442,071	424,220

e) Rehabilitation Works and Upgrades

Rehabilitation Works and Upgrades of Infrastructure Development includes payments made towards rehabilitation of boreholes in the district as well as some classrooms, Teacher's Houses and health facilities.

Payments	2022	2021
	Kwacha	Kwacha
Rehabilitation of primary schools	312,720	-
Rehabilitation of secondary schools	30,000	-
Rehabilitation of Police post	-	-
Rehabilitation of Staff Houses	196,483	-
Rehabilitation of feeder roads	-	-
Rehabilitation of Health Facilities	-	-
Rehabilitation of markets	-	-
Rehabilitation of community halls	-	-
Rehabilitation of palaces	-	-
Rehabilitation of Boreholes	164,219	48,555
TOTAL	703,422	48,555

f) Asset Acquisition

The Council did not acquire any asset during the year under review.

g) RURAL ELECTRIFICATION

There was no activity under Rural electrification

h) SOCIAL BENEFITS

The following payments were made during the year under review

NOTES TO THE FINANCIAL STATEMENTS

Payments	2022	2021
	Kwacha	Kwacha
Youth Empowerment grants	-	-
Women empowerment grants	132,000	-
Life and Business Skills Training	-	-
Productivity grants	-	-
Savings Clubs	-	-
Community empowerment grants	1,788,000	-
TOTAL	1,920,000	-

i) LOANS

There was not loan distributed to beneficiaries during the year under review as they was no approval made

j) SECONDARY BOARDING SCHOOLS AND SKILLS DEVELOPMENT BURSARIES

The council made payments as follows

Payments	2022	2021
	Kwacha	Kwacha
Skills Development	405,685	-
Secondary Boarding Schools	148,000	-
TOTAL	553,685	-

k) Administrative Costs

Administrative and other costs included the following

	2022	2021
	Kwacha	Kwacha
Supervision cost for civil works	75,049.82	15,988.80
Special assistance benefits	-	-
Bank charges	1,720	65
Monitoring of civil works	27,440	-
Refreshments for Meetings	27,611	-
Stationary	37,444	-
Allowances	234,228	-
Transport	-	-
Fuel	69,003	-
Office equipment	69,050	-
Others	32,323	-
TOTAL	573,869	16,054

l) Disaster Contingency

The Council did not make any payments towards the disaster during the year: -

NOTES TO THE FINANCIAL STATEMENTS

m) Cash Balances

Lusangazi Town Council had cash amounts consisted of cash on hand, demand deposits and cash equivalents.

Account Name	2022 Kwacha	2021 Kwacha
Msanjala Constituency Development Fund A/c - ZANACO 566452030	135	1,697,966
Msanjala Constituency Development Fund A/c - INDO Zambia Bank	19,660,087	-
Msanjala Constituency Development Fund A/c - INDO Zambia Rev.	740,896	
TOTAL	20,401,117	1,697,966

9. Other grants

During the year, the Council received the following grants:

Revenue Source	2022 Kwacha	2021 Kwacha
Grants in Lieu of Rates	100,000	-
Grants from Cooperating Partners	-	-
Grant for Community Total Led Sanitation	249,901	
Grant To Hold Special DDCC	26,910	
Other	25,000	200,000
TOTAL	401,811	200,000

10. Borrowings

No Borrowing during the year under review.

11. Council Commercial Venture

No receipts and payments under Council Commercial ventures were incurred

12. Other Receipts

The Council did receive amounts totaling to K 242, 060 in its various bank accounts that could be traced to the sources as below.

NOTES TO THE FINANCIAL STATEMENTS

Other Receipts	2022	2021
	Kwacha	Kwacha
Sinozoche	-	22,000
Dc Lusangazi	-	2,000
Contributions towards national Events	9,000	
Bid Document		
Borehole Contributions	25,500	45,500
Electoral Commission of Zambia	-	5,543,946
others	51,301	
CDF Interest	156,259	
TOTAL	242,060	5,613,446

13. Emoluments

Personal Emoluments consist of actual amounts of salaries and wages paid to staff of the Council. The Council had categories of staff that were paid as follows:

	2022	2021
	KWACHA	KWACHA
Salaries Division I	2,181,849	1,968,051
Salaries Division II	1,263,967	1,390,990
Salaries Division III	891,353	801,617
Salaries Division IV	694,058	809,972
Other Allowances	113,185	133,784
Statutory Contributions	464,768	
Contributions to Trade Unions	62,886	
TOTAL	5,672,066	5,104,414

NOTES TO THE FINANCIAL STATEMENTS

14. Use of Goods and Services

Use of Good and services consist of expenditure incurred on administrative activities

Expenditure Type	2022	2021
	KWACHA	KWACHA
Office Running Costs	117,391	123,371
Building, Repair and Maintenance Costs	25,415	12,208
Plant, Machinery and Vehicle Running and Maintenance Cost	253,399	286,626
Other Administrative operating costs	747,415	97,352
Requisites	219,881	8,965
Services	2,946,057	1,060,924
Travel expenses	690,426	386,189
Training	564,685	22,773
Computer Software	-	11,732
TOTAL	5,564,669	2,010,140

15. Financial Charges

The Council did have a long-term liability during the year under review to pay financial charges.

	2022	2021
	KWACHA	KWACHA
Interest on Internal Debt	-	-
Interest on External Debt	-	-
Other Interest		31,079
TOTAL	-	31,079

16. Social Benefits

The Council did not incur any payments toward social benefits on death on duty, burial, and other benefits during the year 31st December 2022 apart from grants to various clubs and cooperatives under the Constituency Development Fund as shown below

NOTES TO THE FINANCIAL STATEMENTS

Payments	2022	2021
	Kwacha	Kwacha
Youth Empowerment grants	-	-
Women empowerment grants	132,000	-
Life and Business Skills Training	-	-
Productivity grants	-	-
Savings Clubs	-	-
Community empowerment grants	1,788,000	-
TOTAL	1,920,000	-

17. Non-financial Asset Acquisition

Acquisition of assets involved the -following payments:

	KWACHA	KWACHA
Building & Structures (Construction of Provisional Ofi	127,808	528,563
Office Equipment	301,180	61,800
Servicing of plots	-	299,991
Borehole Drilling and Equiping	236,550	46,000
Other Assets-office furniture	211,605	5,500
Land Dermacation	-	133,600
Procurement of a Motor Vehicle	358,491	350,000
TOTAL	1,235,634	1,425,454

18. Financial Assets

There was no acquisition of financial assets during the year.

19. Loan Repayments

No Loan repayment occurred under the year being reviewed as council had no borrows.

20. Other Payments

These relate to sundry items such as ...

	2022	2021
	KWACHA	KWACHA
Fixed Allowance	-	-
Stattutory Contribution	-	326,518
Domestic Creditors	299,324	344,771
Subscription	31,655	14,375
Electoral Comission of Zambia Expenditure	-	5,557,873
TOTAL	330,979	6,243,537

NOTES TO THE FINANCIAL STATEMENTS

21. Foreign Exchange Losses

No transactions were made in other currencies and determined by reconciling opening cash to closing cash balances during the year 31st December 2022.

22. Cash Balances

The Council's Cash amounts consisted of cash on hand, demand deposits and cash equivalents.

	2022 KWACHA	2021 KWACHA
Cash on hand	-	-
Demand Deposits	21,787,015	2,408,024
Cash equivalents	-	-
TOTAL	21,787,015	2,408,024

a. Cash on hand

There was no cash on demand made of cash collections and petty cash:

b. Demand Deposits – Bank Balances

The Council had the following reconciled bank account balances as at the 31st December 2022:

Account Name	Account No	2022 KWACHA	2021 KWACHA
District Fund A/c	Zanaco -5664520300496	1,663	3,802
Salaries A/c	Zanaco-5664520300294	83,634	41,029
Salaries Indo A/c	Indo	-	20,637
Capital Projects	Zanaco -5664520300295	1,136,788	449,799
Grants A/c	Zanaco-5664520300193	57,070	100,421
Msanzala Constituence A/C	Zanaco-0567194300118	20,401,117	1,697,966
Rural Water and Sanitation A/C	Zanaco-5664520300601	105,384	44,355
Land Development Fund A/c	Zanaco	1,359	50,015
Electoral Commission Of Zambia A/C	Zanaco-5664520300597	-	-
TOTAL		21,787,014.81	2,408,024

c. Cash Equivalents

The Council had no treasury bills valued under the year 31st December 2022.

23. Budget Adjustments and Variances

a. Budget Adjustments

The original budget was approved by the Minister responsible for Local Government on 22nd February, 2022 on Ministerial circular number **MLG/71/1/91** Subsequent approved adjustments to the budgets consisted of approved supplementary provisions and approved budget reallocation as follows:

NOTES TO THE FINANCIAL STATEMENTS

b. Budget Variances

- **Local Taxes**

The Council planned to raise K42,189.00 in Fees and Charges but collected K 2,938.00 representing 7% collection efficiency. This resulted in an adverse variance of K 39,251 representing 93%. The poor collection was attributed to late approve of the valuation roll which was only received in the final quarter of the year. .

- **Fees and Charges**

The Council budget to raise K 463,775.00 on Fees and Charges but received K 342,366.00 representing 74% collection efficiency. This resulted in an adverse variance of K 121,409.00 representing 26%. This was due to challenges in in land issues which arose during the year under review which resulted in the council having challenges to collect plot premium fees.

- **Use of Goods and services**

The council budgeted to spend K23,333,108.00 on the use of goods and services but spent K5,564,668.96 representing a budget performance of 25%. This resulted in a favourable variance of K 17,512,950.00 representing 75%. The variance was as a result of late funding of Constituency Development Fund which led to delays in the procurement processes for projects funded under Community projects.

- **Social Benefits**

The Council planned to spend K 5,140,000.0 on social benefits on non-Financial but spent K1,920,000.00 representing a budget performance of 37%. This resulted in a favorable variance of K3,220,000.00 representing 63%. This was mainly due to the delays in awarding empowerment loans for the period under review.

- **Non-Financial Assets Acquisition**

The Council planned to spend K 2,211,239.00 on non-financial assets acquisition but spent 1, 235, 634.04 representing a budget performance of 56%. This resulted into positive variance of K 975, 605.00 representing 44%. The above positive variance is attributed to delays in procurement processes for the completion of works at the provisional offices.

- **Other Payments**

The Council planned to spend K 577,564.00 on social benefits but spent K 330,981.00 representing a budget performance of 57%. This resulted into a positive variance of K 246,583.00 representing 43%. The above positive variance is attributed to inadequate funds to meet debt liquidations of the delays in the tender processes for the drilling of boreholes both under the 20% of the Local government Equilisation Fund and Constituency development Fund.

NOTES TO THE FINANCIAL STATEMENTS

24. Provision of Services

The Council incurs expenditure of offering services, it is mandated to provide to the residents of the District.

Type of Services	2022 KWACHA	2021 KWACHA
COVID 19 Prevention		
Make Zambia Clean and Health Campaign		
HIV/AIDS Prevention		
Roads and Drainages	-	299,991
Parks, Zoos and Botanical Gardens	-	-
Mangement of Council Buildings	-	-
Ward Development Fund Projects	-	16,800
Procurement of Motor vehicle	358,491	350,000
Procurement of GPS	-	52,000
Boreholes and Water reticulation	449,721	46,000
Other Services	-	743,184
	808,212	1,507,975

Note: The above amounts have been included in the various payments recognized in the Statement of Cash Receipts and Payments.

25. Property, Plant and Equipment

The Council had property, plant and Equipment valued at K 5,154,146 as at 31st December 2022

	Land Kwacha	Land and Buildings Kwacha	Plant & Machinery Kwacha	Motor vehicles Kwacha	TOTAL Kwacha
Opening balance	-	528,563	67,300	350,000	3,918,512
Additions	-	665,538	211,605	358,491	1,235,634
Revaluation	-	-	-	-	-
Re-classification	-	-	-	-	-
Disposal	-	-	-	-	-
Closing balance	-	1,194,101	278,905	708,491	5,154,146

26. Investments in Other Entities

No investments in shares were held by the council during the period under review.

27. Administered Transactions

No collection were administered on behalf of Zambia Revenue Authority.

28. Related Party Disclosures

The following disclosures are made in the financial statements of Lusangazi Town Council:

NOTES TO THE FINANCIAL STATEMENTS

a. Fringe benefits Disclosures

The Chairman was provided with a personal-to-holder car, an office and personal secretary.

b. Remuneration of the Councilors

The aggregate remuneration of members of the Council and the number of individuals determined on a full-time equivalent basis receiving remuneration from Lusangazi Town Council are:

Aggregate Remuneration	K 396,000.00
Number of persons	11

None of the councillors acquired loans from the Council during the period under review nor had any outstanding loans.

c. Remuneration of Senior Management

The aggregate remuneration of members of the Senior Management and the number of individuals determined on a full-time equivalent basis receiving remuneration from the Local Authority are:

Aggregate Remuneration	K1, 968,051.00
Number of persons	9

None of the members of senior management acquired loans from the Council during the period under review nor had any outstanding loans.

29. External Assistance

There was no external assistance received during the year.

30. Third Party Payments

No third-party payments benefited from payments were made.